



SECURITIES AND FUTURES COMMISSION 證券及期貨事務監察委員會

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Circular to Licensed Corporations Observe the Know Your Clients Rules to Avoid Losses

This circular is to alert licensed corporations to be on the look out for fraudulent activities perpetrated by walk-in clients. The Commission urges licensed corporations to protect themselves from fraud by observing the “Know Your Clients” Rules and putting in place effective control measures. Failure to observe the Rules may result in substantial financial losses to your firm due to fraud.

The Commission has recently received a number of reports regarding fraud by walk-in clients. Two circulars and a press release have already been issued in the past two years to alert intermediaries of such fraudulent activities.

The Common Practice

The Commission strongly urges licensed corporations to pay extra attention to walk-in clients. The common practices used by fraudsters in the guise of walk-in clients are as follows:

- They use false/forged identity cards and proof of address when opening trading accounts with brokerages; they then place orders to buy inactively traded stocks and in unusually large quantities;
- They produce pay-in slips that show that funds have been deposited into the broker's bank account but these cheques will eventually bounce after the purchases have been concluded; or they produce forged cashier's orders which get rejected. By the time this happens, the fraudster(s) are nowhere to be found leaving the brokers to bear the responsibility to settle the purchases.

General guidelines to prevent losses

The Commission would like to remind licensed corporations to observe the “Know Your Clients” Rules and ensure effective control procedures are put in place and enhanced if necessary to protect your operations from fraud and other dishonest acts.

It is in your interests to ensure that you have:

- carefully verified your clients' identity and their contact details and asked for the original identity and proof of address documents



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- received cleared funds before executing orders
- made appropriate enquiries regarding unusual orders such as the purchase of large quantities of inactively traded stocks by new walk-in clients

You are also urged to report any suspected fraudulent acts to the Police immediately.

Should you have any queries regarding the above, please contact Ms Seine Luk at 2842-7696.

Intermediaries Supervision Department
Intermediaries and Investment Products Division
Securities and Futures Commission